

2-2 What Do Institutions Do?

While institutions do many things, their key role, in two words, is to *reduce uncertainty*. By signaling which conduct is legitimate and which is not, institutions constrain the range of acceptable actions. In short, institutions reduce uncertainty, which can be potentially devastating. Political uncertainty, such as terrorist attacks and ethnic riots, may render long-range planning obsolete. Political deadlocks in Washington have made the US government “less stable, less effective, and less predictable,” which led Standard & Poor’s to downgrade its AAA crediting rating to AA+. Economic uncertainty, such as failure to carry out contractual obligations, may result in economic losses. During the Great Recession of 2008–2009, a number of firms, such as Dow Chemical and Trump Holdings, argued that the “unprecedented economic crisis” should let them off the hook. *Force majeure* is a long-standing legal doctrine that excuses firms from living up to the terms of a deal in the event of natural disasters or other calamities. But was the economic crisis a *force majeure*? If the argument prevails, critics contend, then every debtor in a country suffering economic crisis can avoid paying debts. While these arguments are debated in court battles, a great deal of economic uncertainty looms on the horizon.

Uncertainty surrounding economic transactions can lead to

transaction costs (The cost associated with economic transactions or, more broadly, the cost of doing business.)

, which are defined as costs associated with economic transactions—or, more broadly, costs of doing business. Nobel laureate Oliver Williamson refers to frictions in mechanical systems: “Do the gears mesh, are the parts lubricated, is there needless slippage or other loss of energy?” He goes on to suggest that transaction costs can be regarded as “the economic counterpart of frictions: Do the parties to exchange operate harmoniously, or are there frequent misunderstandings and conflicts?”

One important source of transaction costs is

opportunism (The act of seeking self-interest with guile.) , defined as self-interest seeking with guile. Examples include misleading, cheating, and confusing other parties in transactions that will increase transaction costs. Attempting to reduce such transaction costs, institutional frameworks increase certainty by spelling out the rules of the game so that violations (such as failure to fulfill a contract) can be mitigated with relative ease (such as through formal arbitration and courts).

Without stable institutional frameworks, transaction costs may become prohibitively high, to the extent that certain transactions simply would not take place. For example, in the absence of credible institutional frameworks that protect investors, domestic investors may choose to put their money abroad. Although Africa is starving for capital, rich people in Africa put a striking 39% of their assets outside of Africa.

Institutions are not static. Institutional transitions are widespread in the world. Institutional transitions in some emerging economies, particularly those moving from central planning to market competition (such as China, Poland, Russia, and Vietnam), are so pervasive that these countries are simply called

transition economies (A subset of “emerging economies,” particularly those moving from central planning to market competition (such as China, Poland, Russia, and Vietnam).) (a *subset* of emerging economies). Institutional transitions in countries such as China, Cuba, India, Russia (see the [Opening Case](#)), and South Africa create both huge challenges and tremendous opportunities for domestic and international firms.

Having outlined the definitions of various institutions and their supportive pillars as well as their key role in uncertainty reduction, next we introduce the first core perspective on global business—an institution-based view.

Chapter 2: Understanding Formal Institutions: Politics, Laws, and Economics: 2-2 What Do Institutions Do?

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